# Homebase Desk strategies

Ten automated NQ futures strategies, what each one does, and how each performed in testing.

All ten trade the **Nasdaq-100 futures (NQ / MNQ)** on New York hours (most entries come in the morning) and run on one trading desk. They fall into four ideas: **candle breaks** (follow a candle that closes beyond the last one), **candle sweeps** (fade a wick that snaps back, with the 1-hour trend), **fair-value-gap pullbacks** and an **overnight-bias opening-range breakout**.

### The numbers at a glance (all tested months, 2021-10 → 2026-09)

| # | Strategy | Net | Trades | Win % | PF | Max DD | Sharpe | OOS Sharpe | Size |
|---|---|---|---|---|---|---|---|---|---|
| 1 | **Overnight ORB** | $89,502 | 497 | 54% | 1.56 | -$5,750 | **2.83** | 2.18 | Risk $1,000 a trade (up to 10 micros) |
| 2 | **FVG · side of the open · 1 : 0.75** | $14,932 | 2,138 | 62% | 1.24 | -$1,471 | **1.95** | 1.59 | 1 micro contract |
| 3 | **FVG · side of the open · 1 : 1** | $14,393 | 2,122 | 55% | 1.20 | -$2,108 | **1.66** | 1.34 | 1 micro contract |
| 4 | **Candle Sweep · Flex** | $20,128 | 886 | 50% | 1.22 | -$2,891 | **1.63** | 1.34 | Risk $200 a trade |
| 5 | **Candle Break · Apex 300K** | $87,790 | 1,645 | 55% | 1.19 | -$10,738 | **1.60** | 1.88 | Risk $650 a trade |
| 6 | **Candle Break · Flex** | $27,057 | 1,711 | 55% | 1.16 | -$5,298 | **1.39** | 1.49 | Risk $200 a trade |
| 7 | **Candle Break · Fast** | $21,398 | 1,675 | 69% | 1.10 | -$6,998 | **0.87** | 1.75 | Risk $400 a trade |
| 8 | **Candle Break · Desk (micro)** | $25,938 | 1,634 | 69% | 1.10 | -$10,018 | **0.87** | 1.56 | Risk $500 a trade |
| 9 | **5-minute Wick Break (#28)** | $168,944 | 2,799 | 58% | 1.08 | -$55,946 | **0.76** | 0.91 | 1 full NQ contract |
| 10 | **Candle Sweep · Desk (micro)** | $7,660 | 865 | 69% | 1.06 | -$9,864 | **0.42** | 0.66 | Risk $500 a trade |

Sorted by Sharpe. Dollar figures depend on trade size, so compare strategies by profit factor and Sharpe, not by net dollars.

### How the testing was done

Every strategy was replayed on real tick data with pessimistic fills, commission and one tick of slippage. Months were split in a rolling **3 : 1** pattern — three months used to build and judge the rules (**in-sample**), then the next month kept unseen (**out-of-sample**), then repeat, from late 2021 to Sept 2026 (60 months: 45 in-sample, 15 out-of-sample). The rules are fixed and identical in every block. “Both” is the two combined. Out-of-sample is the honest check: it is the part the rules were not chosen on.

### What to look at

**Profit factor (PF)** = total won ÷ total lost; above 1.0 makes money, 1.2+ is decent. **Sharpe** = average daily result ÷ its ups and downs, scaled to a year — counted only on days the strategy actually traded. Around 1 is okay, 2+ is strong. **Max drawdown** = the worst peak-to-trough fall in the account.

> **Honest summary.** The edges are small and several variants are the same idea at different settings — the four Candle Break rows are one strategy with four sizes, and the two FVG rows are one strategy with two targets. Only the Overnight ORB stands clearly above the rest. The weakest are Candle Sweep (micro) and the 5-minute Wick Break.

# Overnight ORB



Overnight bias + opening-range breakout

Trend / breakout · NQ futures

**Trades:** 10:00 – 15:30 ET, one trade a day · **Tested size:** Risk $1,000 a trade (up to 10 micros)

The idea: where the market opens relative to its overnight range tells you which side to trade today.

### The rules

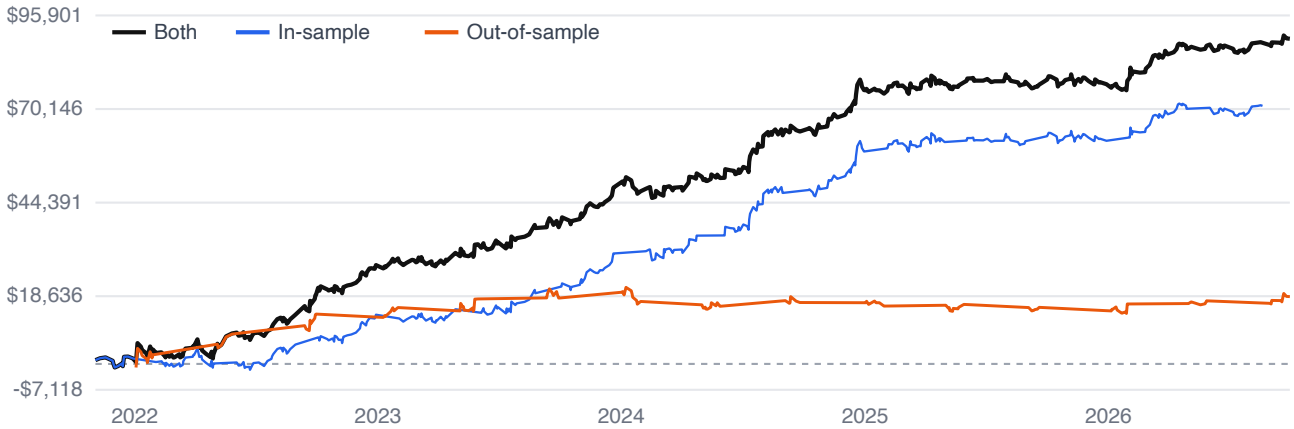
1. Take the overnight range (01:00 – 09:30 ET) and cut it into three equal thirds.
2. If the 09:30 open sits in the **top third** → only buy today. **Bottom third** → only sell. Middle → no trade.
3. The first 15-minute candle (09:30 – 09:45) is the opening range.
4. Enter when a 15-minute candle **closes beyond that range** on the day's side, at 10:00 or later, and the trend gauge (ADX 14) is above 20.
5. Stop = 0.3 × the recent average daily range. Target = 3 × the stop. Everything is closed by 15:30.

**In short:** Highest quality of the ten: best Sharpe and profit factor, and it held up on the unseen months. It trades rarely (about one trade every three days).

### Results

| | In-sample | Out-of-sample | Both |
|---|---|---|---|
| Months tested | 45 | 15 | **60** |
| Net profit | $70,990 | $18,511 | **$89,502** |
| Trades | 373 | 124 | **497** |
| Avg trade | $190 | $149 | **$180** |
| Win rate | 56.3% | 48.4% | **54.3%** |
| Profit factor | 1.61 | 1.42 | **1.56** |
| Avg win : avg loss | 1:1.25 | 1:1.51 | **1:1.31** |
| Max drawdown | -$5,865 | -$7,164 | **-$5,750** |
| Sharpe | 3.07 | 2.18 | **2.83** |

### Equity curve (cumulative profit, trading days only)



# FVG · side of the open · 1 : 0.75



15-minute fair value gap, traded with the day's direction

Pullback (limit order) NQ futures

**Trades:** 10:15 – 15:00 ET, up to 20 trades a day · **Tested size:** 1 micro contract

The idea: buy pullbacks into gaps on up days, sell pullbacks into gaps on down days.

### The rules

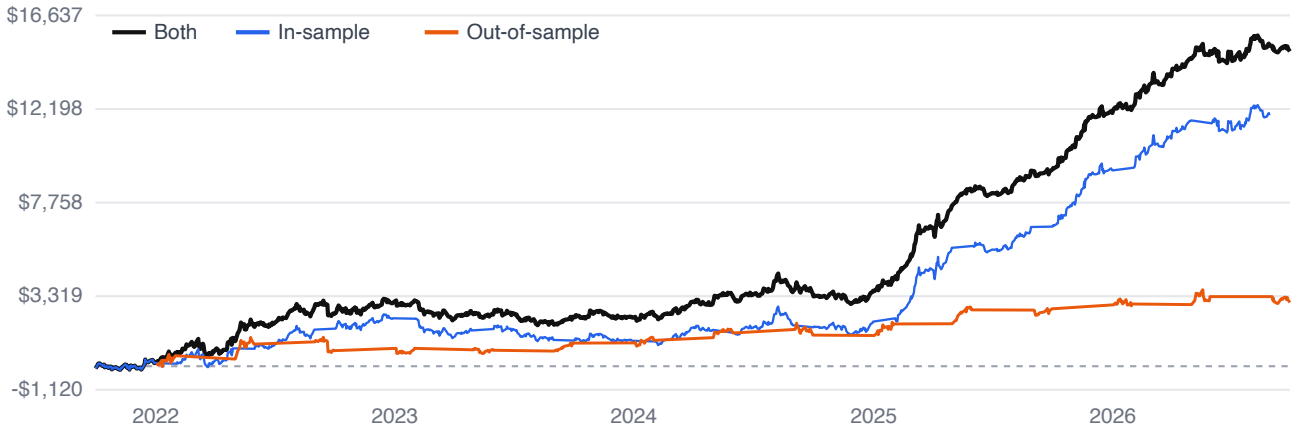
1. Compare price with the 09:30 open: above it = longs only, below it = shorts only.
2. Look for a **fair value gap** on 15-minute candles (three candles where candle 3 does not overlap candle 1, leaving a gap).
3. Place a **limit order at the near edge of the newest gap** on the day's side; it moves if a newer gap forms or the side flips.
4. Stop = 3 × the average 1-minute range, measured from the gap edge. Target = 0.75 × the stop.
5. One trade at a time. Unfilled orders are cancelled at 15:00; flat by 15:55.

**In short:** Smoothest curve on the Desk: tiny drawdown and Sharpe near 2, but small dollars because it trades one micro.

### Results

| | In-sample | Out-of-sample | Both |
|---|---|---|---|
| Months tested | 45 | 15 | **60** |
| Net profit | $11,908 | $3,024 | **$14,932** |
| Trades | 1,611 | 527 | **2,138** |
| Avg trade | $7 | $6 | **$7** |
| Win rate | 61.9% | 62.6% | **62.1%** |
| Profit factor | 1.26 | 1.20 | **1.24** |
| Avg win : avg loss | 1:0.77 | 1:0.72 | **1:0.76** |
| Max drawdown | -$1,468 | -$796 | **-$1,471** |
| Sharpe | 2.07 | 1.59 | **1.95** |

### Equity curve (cumulative profit, trading days only)



# FVG · side of the open · 1 : 1



Same entry as above, bigger target

Pullback (limit order) NQ futures

**Trades:** 10:15 – 15:00 ET, up to 20 trades a day · **Tested size:** 1 micro contract

Identical to the 1 : 0.75 version except the target equals the stop (1 : 1).

### The rules

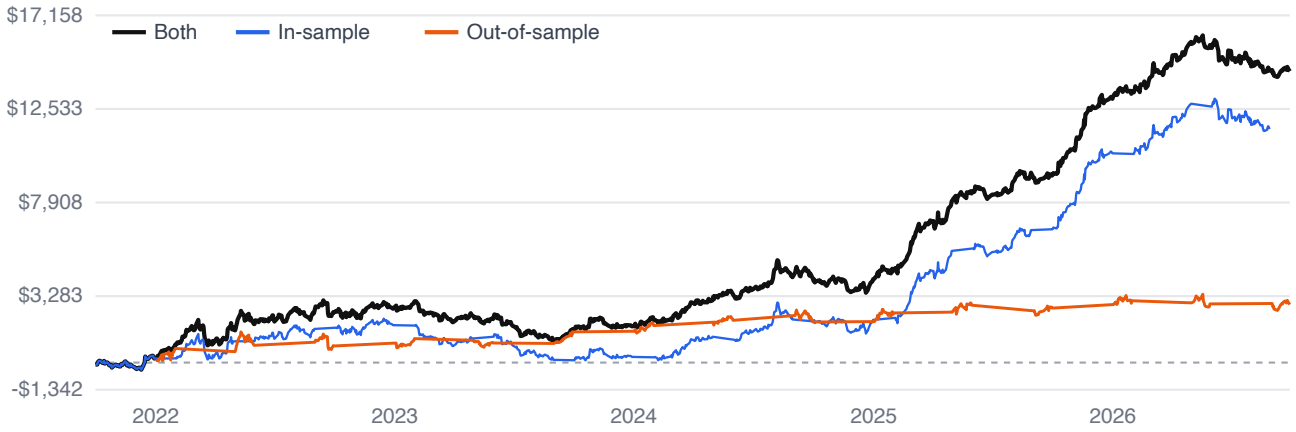
1. Same side rule, same 15-minute fair value gap, same limit order at the gap edge, same stop (3 × 1-minute range).
2. **Target = 1 × the stop** instead of 0.75 × — wins less often, wins slightly bigger.

**In short:** Very close to its sibling: a little lower win rate, a little lower Sharpe. They are two settings of one idea, not two separate edges.

### Results

| | In-sample | Out-of-sample | Both |
|---|---|---|---|
| Months tested | 45 | 15 | **60** |
| Net profit | $11,530 | $2,862 | **$14,393** |
| Trades | 1,598 | 524 | **2,122** |
| Avg trade | $7 | $5 | **$7** |
| Win rate | 54.8% | 54.6% | **54.7%** |
| Profit factor | 1.21 | 1.16 | **1.20** |
| Avg win : avg loss | 1:1.00 | 1:0.97 | **1:0.99** |
| Max drawdown | -$2,141 | -$872 | **-$2,108** |
| Sharpe | 1.76 | 1.34 | **1.66** |

### Equity curve (cumulative profit, trading days only)



# Candle Sweep · Flex

Wick sweep that snaps back, with the 1-hour trend

Reversal with trend filter | NQ futures

**Trades:** 09:45 – 10:45 ET entries, flat 15:58 · **Tested size:** Risk $200 a trade

The idea: a candle that pokes past the last candle's wick and then closes back inside has trapped traders — trade it, but only in the direction of the 1-hour trend.

### The rules

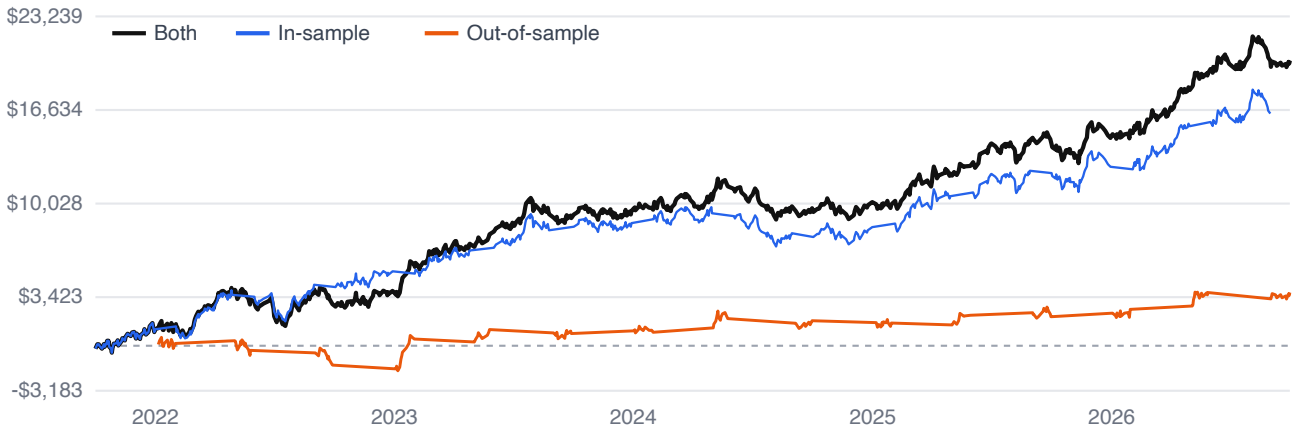
1. At each 15-minute close from 09:45 to 10:45 ET: the candle's **low went below the previous low but it closed back above the previous body → buy** (mirror image for sells).
2. Only buy when price is **above the 1-hour EMA(50)**; only sell when below it.
3. Stop at the sweeping candle's extreme; **target = 1.25 × the stop**.
4. Risk $200 a trade, up to 5 trades a day. Tuned for a LucidFlex funded account.

**In short:** Small drawdown for its profit and Sharpe above 1.6 — but only ~900 trades in five years.

### Results

| | In-sample | Out-of-sample | Both |
|---|---|---|---|
| Months tested | 45 | 15 | **60** |
| Net profit | $16,376 | $3,753 | **$20,128** |
| Trades | 683 | 203 | **886** |
| Avg trade | $24 | $18 | **$23** |
| Win rate | 50.2% | 50.2% | **50.2%** |
| Profit factor | 1.23 | 1.18 | **1.22** |
| Avg win : avg loss | 1:1.22 | 1:1.16 | **1:1.21** |
| Max drawdown | -$2,777 | -$2,356 | **-$2,891** |
| Sharpe | 1.72 | 1.34 | **1.63** |

### Equity curve (cumulative profit, trading days only)



# Candle Break · Apex 300K

Morning momentum: close beyond the last candle's wick

Momentum | NQ futures

**Trades:** 09:45 – 10:45 ET entries, flat 15:58 · **Tested size:** Risk $650 a trade

The idea: when a 15-minute candle closes beyond the previous candle's high or low, the move tends to carry on a little. Tuned for an Apex 300K funded account.

### The rules

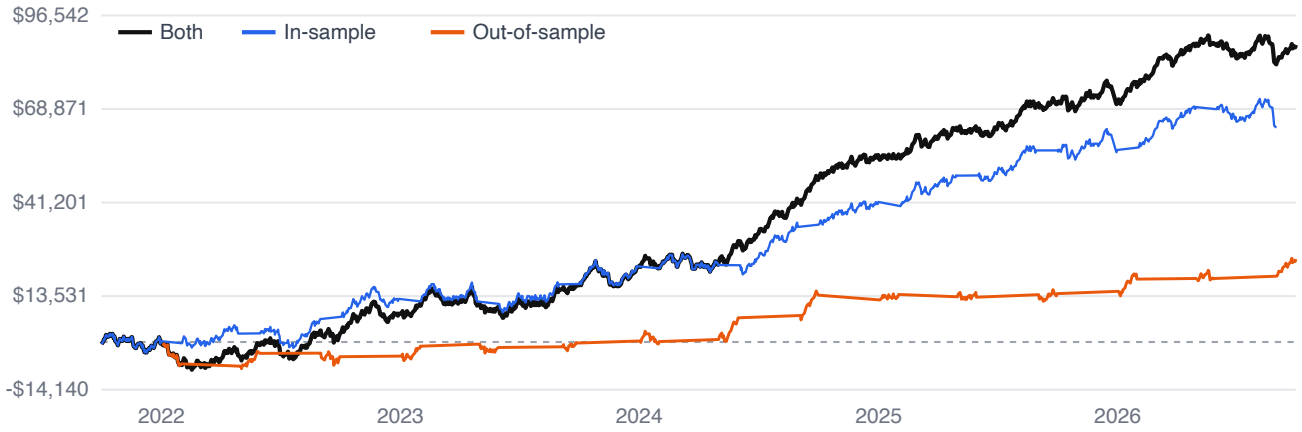
1. Build 15-minute candles. At the close of each candle between 09:45 and 10:45 ET:
2. close **above the previous candle's high → buy**; close **below its low → sell**, at market.
3. Stop at that candle's own extreme (never tighter than 0.25 × ATR). **Target = 1 × the stop.**
4. Size is set so each trade risks about $650. One trade at a time, up to 5 a day; no daily profit cap.

**In short:** Best dollars of the break family (largest size), Sharpe 1.6; the drawdown scales with the size too.

### Results

| | In-sample | Out-of-sample | Both |
|---|---|---|---|
| Months tested | 45 | 15 | **60** |
| Net profit | $63,309 | $24,481 | **$87,790** |
| Trades | 1,234 | 411 | **1,645** |
| Avg trade | $51 | $60 | **$53** |
| Win rate | 54.5% | 55.0% | **54.6%** |
| Profit factor | 1.18 | 1.21 | **1.19** |
| Avg win : avg loss | 1:0.98 | 1:0.99 | **1:0.99** |
| Max drawdown | -$9,450 | -$7,952 | **-$10,738** |
| Sharpe | 1.52 | 1.88 | **1.60** |

### Equity curve (cumulative profit, trading days only)



# Candle Break · Flex



Candle break, small size, daily goal

Momentum | NQ futures

**Trades:** 09:45 – 10:45 ET entries, flat 15:58 · **Tested size:** Risk $200 a trade

Same candle-break rule as the Apex version, sized small and with a daily goal. Tuned for a LucidFlex funded account.

### The rules

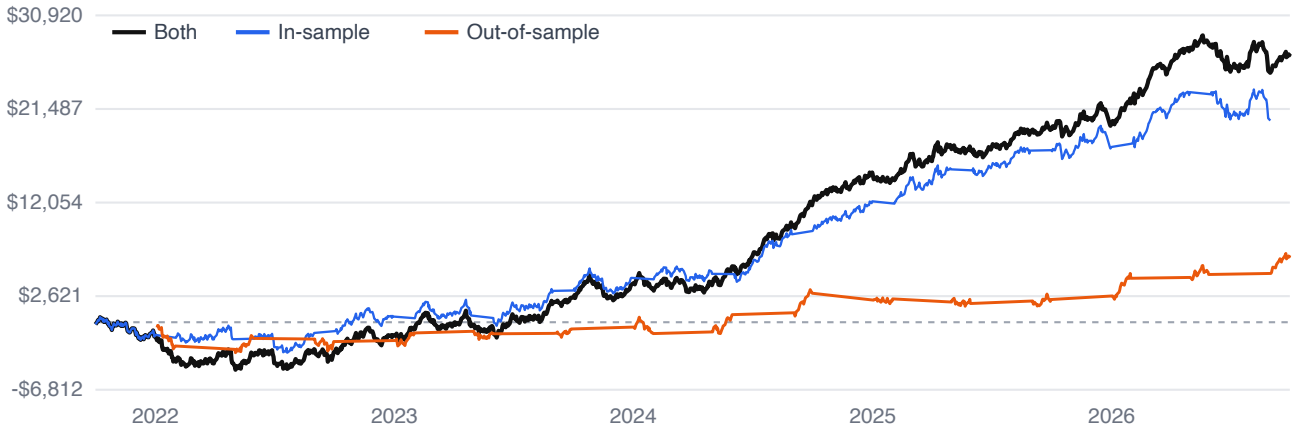
1. Buy when a 15-minute candle (09:45 – 10:45 ET) closes above the previous candle's high; sell when it closes below the previous low.
2. Stop at the candle's extreme, **target = 1 × the stop**, risk $200 a trade.
3. **Stops for the day once the day is up $150**; up to 5 trades a day.

**In short:** Steady and modest: Sharpe 1.4, drawdown about $5k.

### Results

| | In-sample | Out-of-sample | Both |
|---|---|---|---|
| Months tested | 45 | 15 | **60** |
| Net profit | $20,328 | $6,730 | **$27,057** |
| Trades | 1,286 | 425 | **1,711** |
| Avg trade | $16 | $16 | **$16** |
| Win rate | 54.6% | 55.1% | **54.7%** |
| Profit factor | 1.16 | 1.17 | **1.16** |
| Avg win : avg loss | 1:0.97 | 1:0.95 | **1:0.96** |
| Max drawdown | -$3,606 | -$3,086 | **-$5,298** |
| Sharpe | 1.35 | 1.49 | **1.39** |

### Equity curve (cumulative profit, trading days only)



# Candle Break · Fast

Candle break, built to hit small daily goals quickly

Momentum | NQ futures

**Trades:** 09:45 – 10:45 ET entries, flat 15:58 · **Tested size:** Risk $400 a trade

Candle break with a 0.5 target and a $150 daily goal, designed to reach “5 days of $150+” (a prop-firm requirement) as fast as possible.

### The rules

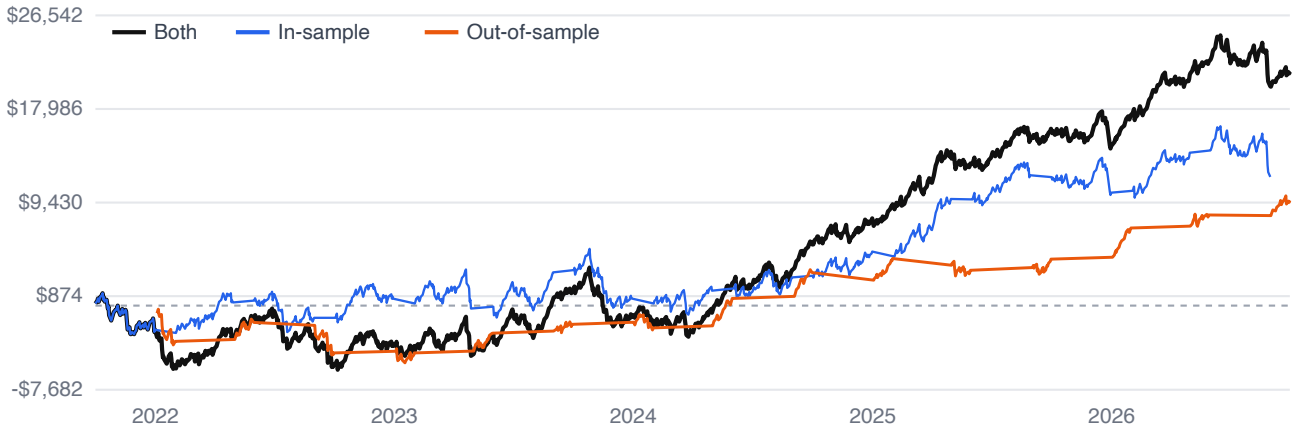
1. Same entry as Candle Break: 15-minute candle closes beyond the previous candle’s high (buy) or low (sell), 09:45 – 10:45 ET.
2. Stop at the candle’s extreme, **target = 0.5 × the stop**, risk $400 a trade.
3. **Stops for the day once the day is up $150**; up to 5 trades a day.

**In short:** Built for speed, not smoothness: high win rate, thin edge (Sharpe 0.9) and a drawdown near $7k.

### Results

| | In-sample | Out-of-sample | Both |
|---|---|---|---|
| Months tested | 45 | 15 | **60** |
| Net profit | $11,774 | $9,624 | **$21,398** |
| Trades | 1,256 | 419 | **1,675** |
| Avg trade | $9 | $23 | **$13** |
| Win rate | 68.9% | 70.6% | **69.4%** |
| Profit factor | 1.07 | 1.20 | **1.10** |
| Avg win : avg loss | 1:0.48 | 1:0.50 | **1:0.49** |
| Max drawdown | -$6,184 | -$5,612 | **-$6,998** |
| Sharpe | 0.62 | 1.75 | **0.87** |

### Equity curve (cumulative profit, trading days only)



# Candle Break · Desk (micro)

The original candle-break setup

Momentum | NQ futures

**Trades:** 09:45 – 10:45 ET entries, flat 15:58 · **Tested size:** Risk $500 a trade

The base version of the candle-break idea, with a small target so it wins most of the time.

### The rules

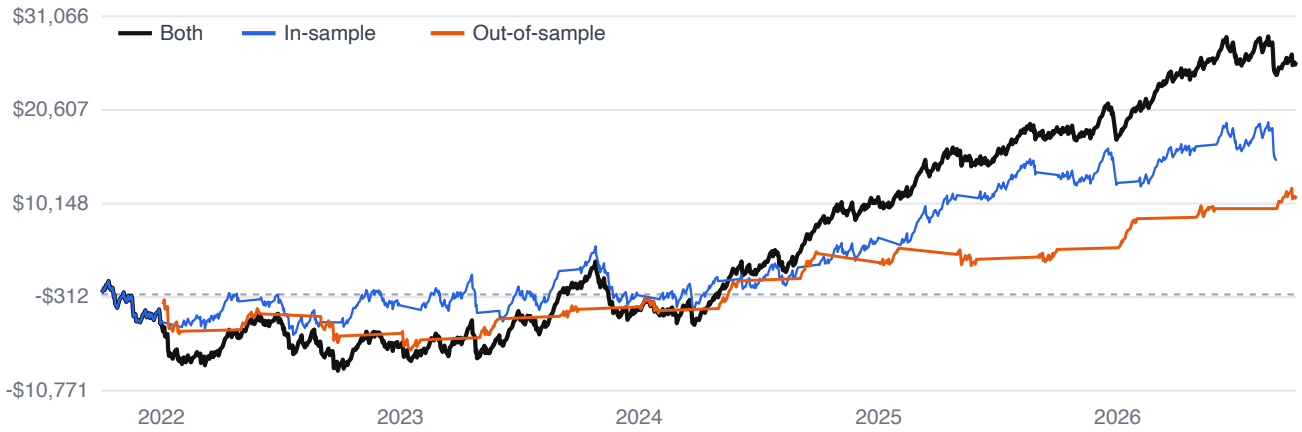
1. Buy when a 15-minute candle (09:45 – 10:45 ET) closes above the previous candle's high; sell when it closes below the previous low.
2. Stop at the candle's own extreme, **target only 0.5 × the stop** (wins ~69 % of the time, but each loss costs two wins).
3. Risk $500 a trade; stops for the day once the day is in profit; up to 5 trades a day.

**In short:** Lots of small wins and occasional large losses. Sharpe 0.9; the out-of-sample months were much better than the in-sample ones.

### Results

| | In-sample | Out-of-sample | Both |
|---|---|---|---|
| Months tested | 45 | 15 | **60** |
| Net profit | $14,946 | $10,992 | **$25,938** |
| Trades | 1,224 | 410 | **1,634** |
| Avg trade | $12 | $27 | **$16** |
| Win rate | 68.9% | 70.7% | **69.3%** |
| Profit factor | 1.08 | 1.18 | **1.10** |
| Avg win : avg loss | 1:0.49 | 1:0.49 | **1:0.49** |
| Max drawdown | -$7,188 | -$6,782 | **-$10,018** |
| Sharpe | 0.65 | 1.56 | **0.87** |

### Equity curve (cumulative profit, trading days only)



# 5-minute Wick Break (#28)

Candle break on 5-minute candles

Momentum | NQ futures

**Trades:** 09:30 – 10:55 ET entries, flat 15:58 · **Tested size:** 1 full NQ contract

The same “close beyond the last candle” idea on 5-minute candles, with a wide stop and a 0.75 target.

### The rules

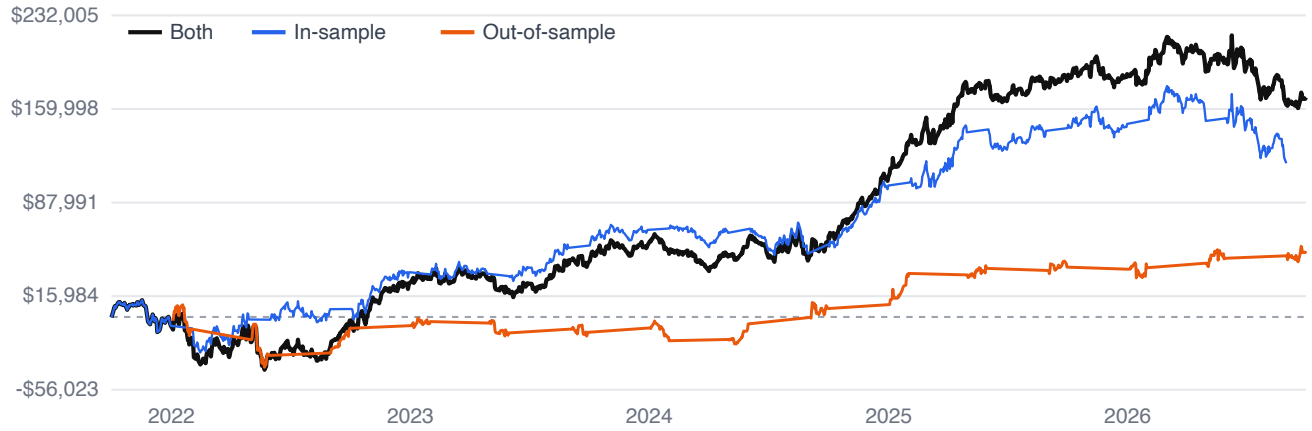
1. At each 5-minute close between 09:30 and 10:55 ET: a close **above the previous candle’s high → buy**, **below its low → sell**.
2. Stop = **2 × the distance** from the entry to the candle’s other end. Target = 0.75 × the stop.
3. One trade at a time, up to 20 a day, flat by 15:58. Costs counted at $4 commission + 1 tick.

**In short:** Biggest profit but the roughest ride: Sharpe only ~0.8 and a ~$56k drawdown on a single NQ contract. Edge per trade is thin.

## Results

| | In-sample | Out-of-sample | Both |
|---|---|---|---|
| Months tested | 45 | 15 | **60** |
| Net profit | $118,301 | $50,643 | **$168,944** |
| Trades | 2,106 | 693 | **2,799** |
| Avg trade | $56 | $73 | **$60** |
| Win rate | 58.5% | 58.6% | **58.5%** |
| Profit factor | 1.07 | 1.10 | **1.08** |
| Avg win : avg loss | 1:0.76 | 1:0.78 | **1:0.77** |
| Max drawdown | -$59,267 | -$48,787 | **-$55,946** |
| Sharpe | 0.71 | 0.91 | **0.76** |

## Equity curve (cumulative profit, trading days only)



# Candle Sweep · Desk (micro)



Wick sweep that snaps back — base version

Reversal with trend filter | NQ futures

**Trades:** 09:45 – 10:45 ET entries, flat 15:58 · **Tested size:** Risk $500 a trade

The base sweep setup with a 0.5 target.

### The rules

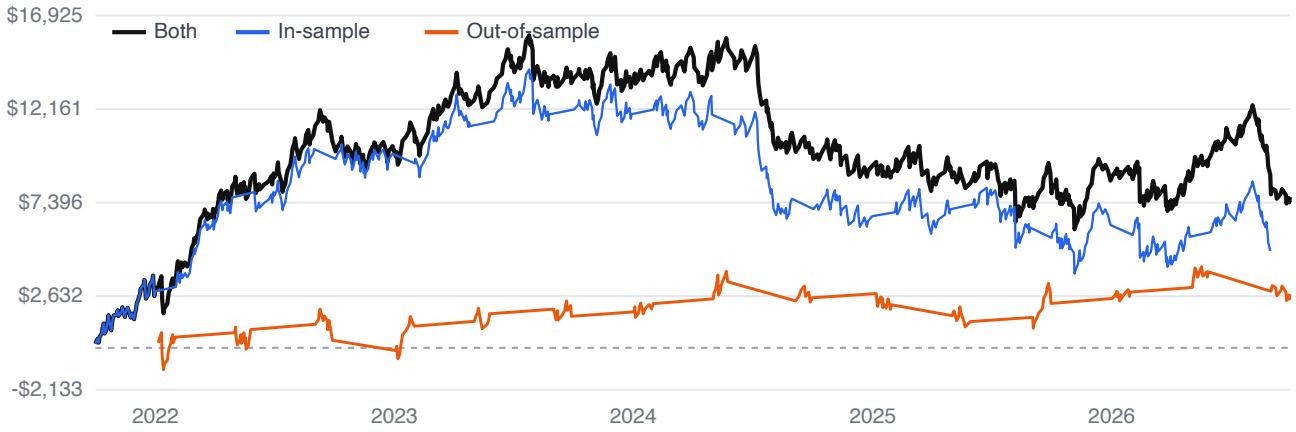
1. Same rule as Candle Sweep · Flex: a 15-minute candle sweeps the previous wick and closes back inside, in the direction of the 1-hour EMA(50).
2. Stop at the candle's extreme, **target = 0.5 × the stop**, risk $500 a trade, up to 5 trades a day.

**In short:** The weakest on the Desk: Sharpe 0.4 and a drawdown larger than its total profit.

## Results

| | In-sample | Out-of-sample | Both |
|---|---|---|---|
| Months tested | 45 | 15 | **60** |
| Net profit | $4,936 | $2,724 | **$7,660** |
| Trades | 668 | 197 | **865** |
| Avg trade | $7 | $14 | **$9** |
| Win rate | 68.6% | 68.5% | **68.6%** |
| Profit factor | 1.05 | 1.09 | **1.06** |
| Avg win : avg loss | 1:0.48 | 1:0.50 | **1:0.48** |
| Max drawdown | -$10,398 | -$3,055 | **-$9,864** |
| Sharpe | 0.35 | 0.66 | **0.42** |

## Equity curve (cumulative profit, trading days only)



# Read this before sharing

Important notes

- **These are backtests** — a simulation of the past on historical data. They are not live results, and future performance can be very different.
- Backtests can look better than real trading: fills, latency, slippage and market changes all cost more in practice.
- Several rows are **variants of the same idea** (different size, target or daily goal), so they are not independent strategies — running them together stacks the same risk.
- Dollar results depend on trade size (shown on each page). Drawdowns are real money: a strategy can fall further than its worst past drawdown.
- Futures trading carries a substantial risk of loss. This document is for information only and is **not financial or investment advice**.